BECS 22732 - Marketing Fundamentals/ MGMT 22022 - Marketing Management

Lesson - 03

Segmentation, Targeting & Positioning

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What is a Market?

Cluster of Individuals

Organizations

Mixture of Both

→ who have specific needs and wants

→ who also have the necessary financial resources

→ authority to purchase the product/service

Approaches to Handle Markets

Mass Marketing

Mass Customization

Target Marketing

- Offering the same product and marketing mix to all consumers
- Mass production, mass distribution, and mass promotion of one product
- Lower costs and prices largest market share
- Ex: Coca-Cola

Approaches to Handle Markets

Mass Marketing

Mass Customization

Target Marketing

- meeting the specific requirements of every single individual consumer
- marketing mix is individualized to every single customer.
- Ex: Wedding Planning

Approaches to Handle Markets

Mass Marketing

Mass Customization

Target Marketing

- distinguish differences between various customer groups and target one or more of these segments
- design different marketing mixes tailored to each segment

Process of Target Marketing

Market Segmentation → **Market Targeting** → **Market Positioning**

1. Segment the Market
2. Develop segment profiles

→

1. Evaluating the segments
2. Select the target segments

→

1. Identify possible positioning options
2. Select, develop and communicate the chosen positioning strategy

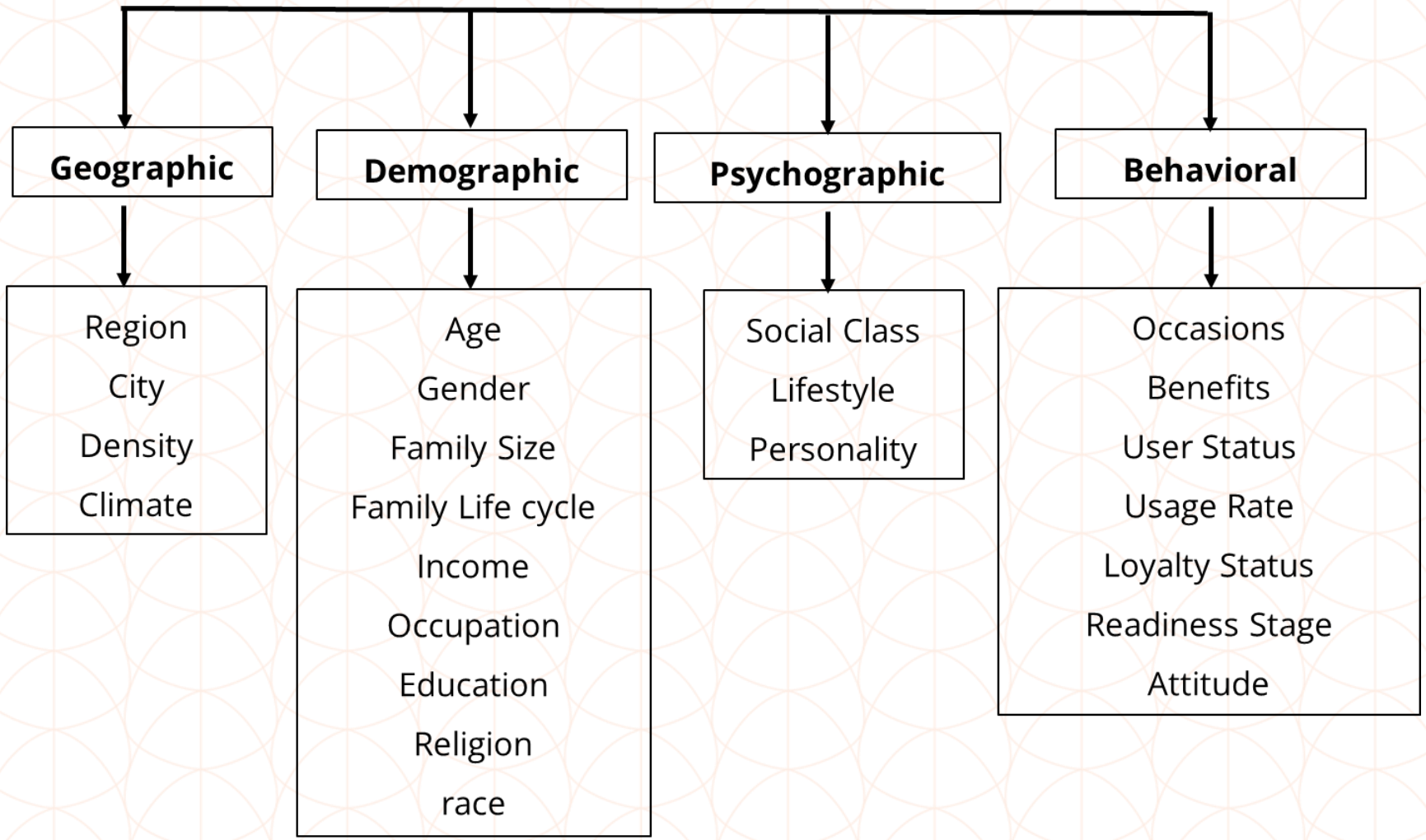
01. Market Segmentation

- The total market is divided into smaller groups
- Each of which tends to be homogenous (or similar) in all significant aspects

Why do we need to do segmentation?

- Differences among buyers such as purchasing power, geographical location, buying behavior, etc will lead **certain segments to require separate products/marketing mixes**

Bases of Segmentation



Geographic

Region- North, South, East, West

City- Metropolitan Areas, Towns, Cities

Density- Urban, Sub Urban, Rural

Climate- Temperature, Hot, Cool

- People who live in the same area have similar needs and wants, and these needs and wants differ from those of people living in other areas
- Some regional consumption differences can be accounted for by climate
- Geographic segments can be easily reached through;

  → local media, including newspapers, TV, and radio

  → brand activations

  → hoardings

  → leaflets

Case Examples

Regional Menu Offerings: McDonald's may offer regional menu items that are specific to certain geographic locations. For example:

- in Hawaii, McDonald's serves Spam, Eggs, and Rice for breakfast
- in India, the menu includes the McAloo Tikki burger made with a spiced vegetable patty, Maharaja Mac (does not have beef)
- In the US people tend to have beef rather than chicken
- Middle East has introduced Mc Arabia Mc Spaghetti

Demographic

Age
Gender
Family Size
Family Life cycle
Income
Occupation
Education
Religion
race

- Demographic information is the most accessible and the most cost-effective way to identify the target markets
- Most secondary data are expressed in demographic terms
- Demographics are easier to measure than other segmentation variables

Case Examples

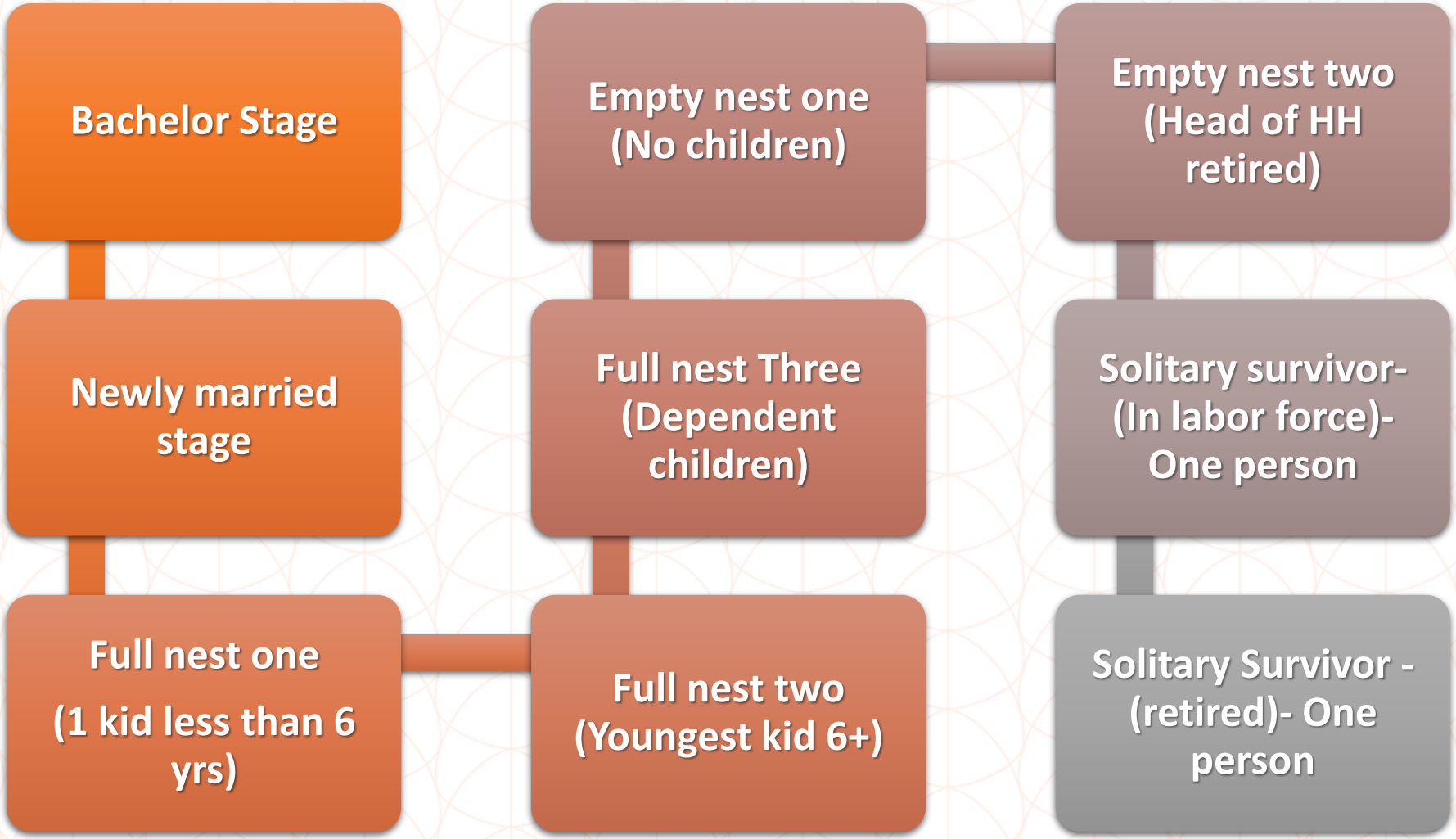
- Germany, Europe and Japan serves beer
- New Zealand Mc. Donald's serves free coffee or tea for senior citizens who has a Gold Card
- Mc. Donald's introducing combo packs for families

CBL Munchee

Kids

Youth

Adults


Bachelor Stage
Newly married stage
Full nest one
(1 kid less than 6 yrs)
Full nest two
(Youngest kid 6+)
Full nest Three
(Dependent children)
Empty nest one
(No children)
Empty nest two
(Head of HH retired)
Solitary survivor-
(In labor force)-
One person
Solitary Survivor -
(retired)- One person

Psychographic

Social Class- Upper class, Middle class, Lower class

Lifestyle- Based on person's activities, interests, and opinions

Personality- masculine, self-confident, Outgoing

- Psychological characteristics refer to the inner qualities of the individual consumer.
- Consumer segmentation strategies are often based on specific psychological variables.

Case Examples

- Mc Donald' has been a great escape for children after school, on weekends and on holidays
- It offers the children great features like "Happy meals" that are served with favourite toys of children
- The organization had even built playgrounds for kids in the restaurants.

Behavioral

Occasions- Casual wear, Party wear

Benefits - Economy seeking buyers, quality seeking

User status- - Nonusers, ex-users, potential users, regular users

Usage rate- Light users, medium users, heavy users

Loyalty status- Hard-core loyal, shifting loyalties, switches

Buyer readiness stage- Some customers are unaware of products, some are informed, some are interested

Requirements for Effective Segmentation

- Measurable
- Substantial
- Accessible
- Differentiable
- Actionable

02. Market Targeting

- The act of selecting one or more segments to enter

Evaluating the attractiveness of each segment

- Segment size and growth
- Structural attractiveness → Long term profitability- use Michael Porter's five forces model
- Company objectives and resources

Deciding how many and what segments to enter

- Single – Segment Concentration
- Selective Specialization
- Product Specialization
- Market Specialization
- Full Market Coverage

Single – Segment Concentration

- Here the company selects a single segment
- The firm achieves a strong market position in the segment
- Ex: Keells organic vegetables

  Rolex watches

  Red Bull (focuses on energy drink market)

  Tesla (high-end electric vehicle market)

Selective Specialization

- Here the company selects a number of segments. This strategy is called multi-segment coverage and it diversifies the firm's risk.
- Ex: Unilever shampoo brands (Dove, Sunsilk, Ayush, Clear, Lifebuoy), Nike, Disney (offers variety of entertainment products such as theme parks, movies, merchandising , and streaming)

Product Specialization

- Here the company is devoting to a certain product that it sells to several segments.
- The company would build up a strong reputation in a specific product area.
- Ex: Marmite, intel

Full Market Coverage

- Here the company is serving all customer groups with all the products that they require.
- Ex: P&G, Amazon, Wall Mart

Target Market Strategies

03. Differentiation and Positioning the Marketing Offer

- Basic Dimensions for Differentiation
  - Product Differentiation
  - Service Differentiation
  - Personal Differentiation
  - Image Differentiation

Market Positioning

- Positioning is an art that places the product in the minds of the customer to gain a unique mental picture of the products in relation to competing products.
- Positioning strategy mainly calls for two decisions.
    - How many differences to promote?
    - Which differences to promote?

Market Positioning Strategies

- Attribute Positioning: Promote one or more attributes of the product.
- Benefit Positioning : Promoting a benefit/s directly
- Use Positioning: Promote the type of usage that is ideal for the product.
- User Positioning: Promoting the product for certain types of customers.
- Competitor Positioning: Positioning with comparison to competitors
- Product Category Positioning: Positing as a different product class.
- Quality/Price Positioning

Steps towards Positioning

Identifying possible competitive advantages → **Choosing the right competitive advantages** → **Communicating & delivering the chosen positioning**

THANK YOU